

Summary for chapter 7:

Social Commerce

1. The Web 2.0 and Social Media Revolutions

- **user-generated content (UGC)**: Various kinds of media content that are produced by end users and are publicly available. المحتوي الذي يتم انشاءه من خلال المستخدمين.
- **social media**: The online platforms and tools that people use to share opinions, experiences, insights, perceptions, and various media, including photos, videos, and music, with each other. منصات وأدوات تستخدمها الناس لمشاركة الآراء والأفكار والصور وغيرها
- **social marketing**: A combination of social policy and marketing practices to achieve a set of social behavioral goals within a target audience. ممارسات تسويقية تستخدم للوصول الى العملاء من خلال السوشال ميديا.
- **social capital**
 - A sociological concept that refers to connections within and between social networks. مفهوم اجتماعي يشير إلى الروابط داخل الشبكات الاجتماعية وفيما بينها.
 - the core idea is that social networks have value; just as physical capital or human capital can increase productivity, so do social contacts affect the productivity of individuals and groups. رأس المال المادي أو رأس المال البشري قادر على زيادة الإنتاجية ، فإن التواصل الاجتماعي يؤثر أيضًا على إنتاجية الأفراد والمجموعات.
- **social media marketing (SMM)**: A term that describes use of social media platforms such as networks, online communities, blogs, wikis, or any other online collaborative media for marketing, market research, sales, CRM, and customer service. استخدام السوشال ميديا وأدواتها للتسويق والمبيعات وإدارة خدمات العملاء.
- **social graph**
 - A term coined by Mark Zuckerberg of Facebook.
 - which originally referred to the social network of relationships between users of the social networking service provided by Facebook. شكل يوضح العلاقات بين المستخدمين داخل الفيسبوك
 - It offers richer online experience for marketing.

2. The Fundamentals of Social Commerce and Social Networking:

- **Social commerce (SC)**: The delivery of e-commerce activities and transactions through social networks and/or via Web 2.0 software.

- **Benefits to Customers**

Benefits to customers

- Pay less for products and services (group buy, special deals).
- Better and faster vendors' response to complaints, since customers can complain in public (on Twitter, Facebook, or even YouTube).
- Unhappy customers can reach millions millions through crowdsourcing. (Power!)
- Be engaged, develop relationship with vendors.
- Customers can assist other customers (e.g., in Forums).
- Customers' expectations can be met in fully and quickly.
- Customers can find out quickly about new staff.
- Can easily search, link, chat, and buy while being in the social network's page.
- Better self-service is possible.

- **Benefits to vendors**

Benefits to vendors

- Save money on customer service (e.g., smaller call centers).
- Can test new products/ideas quickly and inexpensively.
- Learn a lot about the customers.
- Identify problems quickly; assess magnitude, alleviate anger.
- Compare items/services to competitors.
- Can learn from the customers' experience, get feedback.
- Turn user-generated content into user-generated commerce.
- Increase retail sales—when customers discuss products in a community or via Twitter.
- Increase trust via direct conversations.
- Improve customer service and increase loyalty.
- Create better marketing campaigns and brand awareness.
- Improve product/design (e.g., a test bed for products); match with customer needs.
- Use low-cost user-generated content.
- Get free advertisement (e.g., viral advertisement).
- Increase traffic to site, increase sales and profit.
- Target advertisements more accurately.
- Improve operations due to accurate demand forecast.
- Increase revenue via better customer acquisition and retention.
- Reduce marketing and advertisement expenses.
- Identify brand advocates—use and reward them.
- Create viral advertisements—happy customers will share feelings with their friends.
- Create a community of fans for your brand.

- **Benefits to Retailers**

- Consumers can provide feedback. العميل يقدر يقول رايه
- **Word-of-mouth marketing:** (i.e., viral marketing) is free advertising. طريقة مجانية للاعلان وهي ان العملاء يعطوا راء ايجابية عن المنتج.
- Increased website traffic brings more revenue dollars with it.
- Increased sales can come from filtering and targeted advertisement.

- Over 40 percent of businesses globally found new customers via social networks.
- Over 27 percent of companies invest in social networking in order to acquire and retain customers
- **mobile social networking**: Members converse and connect with one another using cell phones or other mobile devices. يقصد بها شبكات التّواصل بين الافراد من خلال الهاتف.

3. Social Shopping: Concepts, Benefits, and Models

- **Social shopping**: A method of e-commerce where shoppers' friends become involved in the shopping experience. طريقة من طرق التجارة الإلكترونية، حيث ينخرط أصدقاء المتسوقين في تجربة التسوق.
- **communal shopping**: a method of shopping where the shoppers enlist others to participate in the purchase decision. يستعين المتسوقون بآخرين للمشاركة في قرار الشراء.
- **The Roles in Social Commerce**:
 - **Connector**: try to influence people to buy. أشخاص تتواصل مع الناس لتعرفهم علي بعض ويحاولوا التأثير عليهم للشراء.
 - **Salesman**: Like their offline counterparts, salesmen's major effort is to influence shoppers to buy. دوره الاساسي التأثير على المتسوقين للشراء.
 - **Maven**: unofficial experts in certain domains that can provide positive or negative recommendations to advice. خبراء غير رسميين في مجالات معينة يمكنهم تقديم توصيات إيجابية أو سلبية
 - **Seekers**: consumers seek advice and information about shopping and services from experts, friends, and maven. يطلب المستهلكون المشورة والمعلومات حول التسوق والخدمات من الخبراء والأصدقاء.
 - **Self-sufficient**: These people work on their own and do not like to be influenced. الناس التي لا تتأثر بالمشاهير.
 - **Unclassified**: Most people do not belong to any one of the above categories.
- **Ratings and Reviews**
 - Customer ratings and reviews
 - Expert ratings and reviews
 - Sponsored reviews
 - Conversational marketing
 - Video product review
 - Customer testimonial

4. Social Advertising

- **viral marketing:** Word-of-mouth (WOM) method by which customers promote a product (service) by telling others (frequently their friends) about it
- **viral blogging:** Viral (word-of-mouth) marketing done by bloggers
- **LOCATION-BASED ADVERTISEMENT AND SOCIAL NETWORKS**
 - **geosocial networking:** A type of social networking in which geographic services and capabilities such as geocoding and geotagging are used to enable additional social dynamics. نوع من الشبكات الاجتماعية تعتمد على الخدمات الجغرافية
 - **geolocation:** The identification of the real-world geographic location of an Internet-connected computer, mobile device, website visitor, or other. تحديد المكان الحقيقي للأشخاص من خلال الهواتف أو الكمبيوتر
- **using YouTube and other social presentation sites for advertising**
 - **viral video:** Any video that is passed electronically, from person to person, regardless of its content.
- **using twitter as an advertising and marketing tool.**

4. Market Research and Strategy in Social Networks:

- **using social networking for market research**
- **feedback from customers: conversational marketing**
- **social analytics and social intelligence in social commerce**
 - **conducting market research using the major social networks** عمل البحوث التسويقية باستخدام شبكات التواصل الاجتماعي
 - **using Facebook for market research**
 - **using twitter for market research**
 - **using LinkedIn for market research**

5. Social Customer Service and CRM:

- **social customers:** Members of social networks who do social shopping and understand their rights and how to use the wisdom and power of crowdsourcing and communities to their benefit. هم العملاء اللي عارفين حقوقهم
- **customer relationship management (CRM):** A customer service approach that focuses on building long-term and sustainable customer relationships that add value both to the customers and the merchants. نهج خدمة عملاء يركز على بناء علاقات طويلة الأمد ومستدامة مع العملاء، تُضيف قيمة لكل من العملاء والتجار
- **social CRM (SCRM):** A customer engagement strategy in support of companies' defined goals and objectives toward optimizing the customer experience. يقصد بـها استراتيجية الشركة التي تدعم الأهداف لتحسين تجربة أو خبرة العميل.

5. Enterprise Applications:

- **Business social network:** A social network whose primary objective is to facilitate business connections and activities.
- Idea Generation and Problem Solving
- Problem-Solving Sites
- Social Networking and Organizational Knowledge.

7. Crowdsourcing:

- **Crowdsourcing:** The act of outsourcing tasks, traditionally performed by an employee or contractor, to an undefined, large group of people or community (a “crowd”), through an open call. الاستعانة بمصادر خارجية لاداء المهام.
- **the process of crowdsourcing**
 - Identify the issue (problem) you want to investigate or solve
 - Identify the target crowd
 - Broadcast to the unknown crowd
 - Engage the crowd in an innovative and creative process
 - User-generated content is submitted
 - Evaluate the submitted material
- **collective intelligence (CI):** The capacity of human communities to evolve toward higher order complexity and harmony, through such innovation mechanisms as variation-feedback-selection, differentiation-integration-transformation, and competition-cooperation-coopetition. يقصد بها قدرة المجتمعات البشرية على التطور نحو مستوى أعلى.

Put true or false

- 1) User-generated content refers to various kinds of media content that are produced by end users and are publicly available.
 - Answer: TRUE
- 2) With social media, users, rather than organizations, produce, control, use, and manage content, often at little or no cost.
 - Answer: TRUE
- 3) Knowledge management is one of the six different types of social media.
 - Answer: FALSE
- 4) The social graph is digital and defined explicitly by all connections involved.
 - Answer: TRUE
- 5) Adding social software and features to existing commerce sites is one of the two basic practices of social commerce.
 - Answer: TRUE
- 6) Building and sharing wish lists is one of the benefits associated with social shopping.
 - Answer: TRUE
- 7) Spot buying is one of the major models of social shopping.
 - Answer: FALSE

- 8) A common strategy of flash sale sites is to focus on an industry.
○ Answer: TRUE
- 9) Brand communities are a common feature of communities and forums.
○ Answer: TRUE
- 10) The major current revenue source for social commerce vendors is advertising.
○ Answer: TRUE
- 11) Social apps involve placing advertisement in paid-for media space on social media platforms such as Facebook, YouTube, and Twitter, as well as on blogs and forums.
○ Answer: FALSE
- 12) A social game is a video game played in a social network.
○ Answer: TRUE
- 13) The tangible cost of many social commerce projects can be very low, but the total cost can be very high due to the cost of the risks that may materialize.
○ Answer: TRUE
- 14) Interfacing with social networks does not involve risk.
○ Answer: FALSE
- 15) Social commerce support systems include payments, order fulfilment, security, and system development and business plans.
○ Answer: TRUE
- 16) Recent studies have shown that small companies do not succeed in social commerce.
○ Answer: FALSE
- 17) Web 2.0 tools can generate revenue growth, user growth, and increased resistance to competition in indirect ways.
○ Answer: TRUE

Choice:

1. The online platforms and tools that people use to share opinions, experiences, insights, perceptions, and various media, including photos, videos, and music, with each other best describes
A) social media.
B) cloud computing.
C) social marketing.
D) mobile commerce.
○ Answer: A
2. A combination of social policy and marketing practices to achieve a set of social behavioral goals within a target audience best describes
A) mobile marketing.
B) social marketing.
C) electronic enterprise.
D) social justice.
○ Answer: B

3. A sociological concept that refers to connections within and between social networks; the core idea is that social networks have value. This best defines
- A) interactive intelligence.
 - B) knowledge management.
 - C) social media marketing.
 - D) social capital.

○ Answer: D

4. Social media categories include each of the following except
- A) blogs.
 - B) records management.
 - C) collaborative projects.
 - D) content communities.

Answer: B

5. Benefits of social commerce to customers include
- A) identifying brand advocates.
 - B) paying less for products and services.
 - C) creating viral advertisements.
 - D) using low-cost user-generated content.

○ Answer: B

6. Benefits to vendors of social commerce include
- A) better self-service is possible.
 - B) customers can assist other customers.
 - C) identifying problems quickly.
 - D) customers' expectations can be met in full and quickly.

Answer: C

7. The benefits of social commerce to retailers include
- A) word-of-mouth marketing.
 - B) increased website traffic.
 - C) increased sales.
 - D) all of the above.

○ Answer: D

8. Dimensions of virtual worlds include
- A) social space.
 - B) entertainment space.
 - C) experimental space.
 - D) all of the above.

○ Answer: D

9. Major reasons to use or deploy business social networking include
- A) increasing revenue.
 - B) reducing operation and travel costs.
 - C) reducing communication and improving collaboration.
 - D) all of the above.

Answer: D

10. A social network whose primary objective is to facilitate business connections and activities best describes
- A) commercial network.
 - B) social vortal.
 - C) business social network.
 - D) social marketplace.

Answer: C

11. The ability of humans to interact with each other effectively best describes
- A) social civility.
 - B) social diplomacy.
 - C) social intelligence.
 - D) social integration.

○ Answer: C

12. Any video that is passed electronically, from person to person, regardless of its content best describes
- A) viral video.
 - B) malicious video.
 - C) spiral video.
 - D) social video.

○ Answer: A

13. Viral marketing done by bloggers best describes
- A) extreme blogging.
 - B) viral blogging.
 - C) freedom of expression.
 - D) social diving.

○ Answer: B

14. Which of the following is a word-of-mouth method by which customers promote a product or service by telling others about it?
- A) viral marketing
 - B) vortal commerce
 - C) social expression
 - D) branded commerce

Answer: A